

---

# Job Ready Graduates does not work, at any price

---

October 20, 2022

in ([HTTPS://WWW.LINKEDIN.COM/SHAREARTICLE?MINI=TRUE&URL=HTTP](https://www.linkedin.com/sharearticle?mini=true&url=http://campusmorningmail.com.au/job-ready-graduates-does-not-work-at-any-price/)

🐦 ([HTTPS://TWITTER.COM/INTENT/TWEET?TEXT=JOB READY GRADUATES](https://twitter.com/intent/tweet?text=Job%20Ready%20Graduates%20does%20not%20work%20at%20any%20price)

✉ ([MAILTO:?SUBJECT=JOB READY GRADUATES DOES NOT WORK, AT ANY P](mailto:stephen@campusmorningmail.com.au?subject=Job%20Ready%20Graduates%20does%20not%20work%20at%20any%20price)

---

*Max Yong ran uni entry data and found price incentives on undergraduate fees don't work – which rather wrecks the case for previous government's Job Ready Graduates funding model*

Mr Yong used NSW Universities Admission Centre data from 2014 to 2022 to examine the relationship between course fees and student study choices for his Uni Melbourne economic honours thesis. The result is the first stats-based analysis of the assumptions underpinning JRG – that students respond to price signals.

He presented his findings to a Melbourne Centre for the Study of Higher Education seminar yesterday.

*Mr Yong found that students are price sensitive, just not very.* His model found that a 1 per cent increase in course price reduced demand by 0.039 per cent. To increase demand for favoured courses by 1 per cent a government would need to reduce fees by 25.3 per cent.

And JRG did not have much impact for enrolments in disciplines the coalition favour. Fees for nursing, teaching and agriculture were dropped by 26 per cent but the percentage of applications only increased by 4.58 per cent – and most of that was due to a trend in-place pre JRG trend. Mr Yong calculates the actual effect of the discount was less than 1 per cent.

*Overall he found;*

- \* school leavers are more price sensitive than mature-age applicants

- \* uni applicants from non-English speaking households are “much more” price sensitive than those from English speaking households

- \* annual fee changes varied due to course choice, women are up for \$107 more than men, Indigenous students \$75 more than others. Fee increases for students from private schools are \$523 more for those from public schools.

*Mr Yong's take-out is,* “if the government wants to control university enrolments across different fields of study, it should not use price as an incentive for students.”

---

*Subscribe to get daily updates on what's happening in the world of Australian Higher Education*

**Know something the world needs to know?**

**Anonymity guaranteed but lots of questions asked,**

**[stephen@campusmorningmail.com.au](mailto:stephen@campusmorningmail.com.au) ([mailto://stephen@campusmorningmail.com.au](mailto:stephen@campusmorningmail.com.au))**

**Tags:** Job Ready Graduates (<https://campusmorningmail.com.au/tag/job-ready-graduates/>), Max Yong

(<https://campusmorningmail.com.au/tag/max-yong/>), price (<https://campusmorningmail.com.au/tag/price/>), price sensitivity (<https://campusmorningmail.com.au/tag/price-sensitivity/>), Uni Melbourne (<https://campusmorningmail.com.au/tag/uni-melbourne/>)

← **Australian universities need to be ready for Indigenous voices** (<https://campusmorningmail.com.au/news/australian-universities-need-to-be-ready-for-indigenous-voices/>)

**Open Access for Climate Justice** → (<https://campusmorningmail.com.au/news/open-access-for-climate-justice/>)

**CAMPUS MORNING MAIL**

Hard Facts and Insider Analysis from Stephen Matchett

(<https://campusmorningmail.com.au/>)